

Cloud Global Must Finance a \$20B AI Infrastructure Expansion

Industry Context & Problem	Project Economics	Strategic Importance
▶ AI Infrastructure Boom Hyperscalers (Alphabet, Amazon, Meta, Microsoft) spent \$250B+ on capex in 2024; AI data center demand far exceeds supply ▶ \$200B, 8-Year Contract Cloud Global secured a landmark AI infrastructure deal with NextGen Labs ▶ \$20B Data Center Required Must rapidly build physical infrastructure to fulfill the contract ▶ \$100B in Existing Debt Negative FCF; currently Baa2/BBB-rated ▶ Key Question How does Cloud Global fund the expansion while protecting its investment-grade rating?	Initial Revenue (2027) \$25B Annually Revenue Growth Rate 5% Annually EBITDA Margin 45% Year 1: \$11.25B Depreciation (Straight-Line / 10yr) \$2B per Year	▶ Top-Tier Hyperscaler Joins Alphabet, Amazon, Microsoft as core AI cloud infrastructure provider ▶ Long-Term, High-Margin Revenue 45% EBITDA margin assumed, supported by 8-year NextGen Labs contract ▶ Credit Rating at Risk Net Debt/EBITDA must remain below 4.0x to maintain investment-grade status ▶ Peer 2024 Capex Benchmarks Amazon ~\$83B Microsoft ~\$80B Alphabet ~\$52B Meta ~\$39B. Cloud Global must match this pace to compete as a top-tier hyperscaler

Balance Sheet Constraints Limit Full Debt Financing

Current Financial Position

Total Debt \$100B	Cash on Hand \$9.2B
Net Debt \$90.8B	EBITDA (2025) \$23.9B
Net Debt / EBITDA 3.8x	Int. Coverage (Current) 5.3x ✓

Credit Rating Constraint

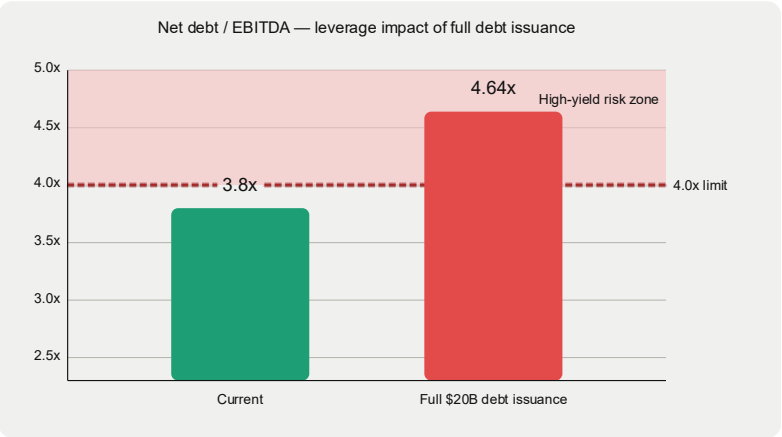
- ▶ **Investment-Grade Threshold**
Rating agencies require Net Debt/EBITDA ≤ 4.0x to maintain Baa2/BBB
- ▶ **Current Rating: Baa2/BBB**
Only 2 notches above high-yield, any downgrade meaningfully raises future borrowing costs
- ▶ **Full \$20B Debt = 4.64x Leverage**
Issuing the full \$20B would breach the 4.0x threshold, risking a downgrade
- ▶ **Downgrade Impact**
High-yield reclassification would increase interest costs and restrict capital market access
- ▶ **Negative FCF Compounds Risk**
Cloud Global already has negative FCF from record capex. Full debt issuance would worsen cash burn and further stress interest coverage, making the hybrid approach even more critical

Leverage Calculation

Current Leverage
Net Debt = \$100B – \$9.2B = \$90.8B
Net Debt / EBITDA = \$90.8B / \$23.9B = **3.8x**

If Full \$20B Debt Issued:
New Total Debt = \$120B → Net Debt = \$110.8B
New Leverage = \$110.8B / \$23.9B = **4.64x** ⚠️

→ **Exceeds the 4.0x investment-grade threshold**



Net Debt / EBITDA: Current **3.8x** | Limit 4.0x | Full Debt Issuance **4.64x** ⚠️
Interest Coverage (EBITDA/Interest): Current **5.3x** ✓
Post-Hybrid **5.0x** ✓ (Agency threshold: 3.0x)



Evaluating Financing Options for the \$20B Data Center

Strategy A — \$20B Debt Issuance

Cloud Global issues \$20B in corporate bonds across multiple tenors.

✓ Advantages

- ▶ Retains 100% ownership of data center and all project cash flows
- ▶ Debt is typically lower-cost capital (vs. equity/partnership)
- ▶ No profit-sharing, full upside captured

✗ Disadvantages

- ▶ Total debt rises to \$120B; leverage jumps to **4.64x**, breaches 4.0x limit
- ▶ Risk of credit downgrade to high-yield, raising future borrowing costs
- ▶ Limits flexibility for future investments and capital needs
- ▶ Higher operational risk

Strategy B — Infrastructure JV Partnership

Cloud Global creates a JV with a PE partner that funds the full \$20B.

✓ Advantages

- ▶ Protects balance sheet and preserves investment-grade credit rating
- ▶ Limits leverage, Net Debt/EBITDA stays well below 4.0x
- ▶ Shares \$20B capital investment risk with financial partner

✗ Disadvantages

- ▶ Must share project profits, reduces long-term upside for Cloud Global
- ▶ Potential governance complexity and loss of operational control
- ▶ Partnership economics (duration, profit split) require careful structuring

Key Insight: Neither strategy alone protects the balance sheet AND maximizes long-term value. A hybrid approach (limited debt + JV partnership) is the optimal path. Intel/Brookfield (\$15B, 49% revenue share) and Intel/Apollo (\$11B, 49% equity cash flows) confirm this structure works at scale.

Recommendation: Hybrid Financing Strategy

Proposed Funding Structure

Total Capital Required

\$20B

Debt Financing (New Bonds)

\$4B

Infrastructure JV Partner Funds

\$16B

Cloud Global JV Ownership

55%

Partner JV Ownership

45%

Leverage Impact

Current Net Debt / EBITDA:

\$90.8B / \$23.9B = 3.8x

After Issuing \$4B Debt:

New Leverage =

\$94.8B / \$23.9B = 3.97x ✓

→ Stays below 4.0x investment-grade threshold

Tenor Split: \$1B 10-Yr (5.25%) | \$1.5B 20-Yr (5.95%) | \$1B 30-Yr (6.12%)
| \$0.5B 40-Yr (6.85%)

Blended Rate: 5.93% (Base) | 5.83% (Tightened, -10bps) — Annual Interest:
\$0.24B (Base) | \$0.23B (Tightened)

Maturity Year	Addition	New Annual Total	Strategic Result
2036 (10yr)	\$1.0B	\$1.75B	Balanced (Sub-\$2B)
2046 (20yr)	\$1.5B	\$2.50B	Market Standard
2056 (30yr)	\$1.0B	\$2.50B	Valley Filled
2066 (40yr)	\$0.5B	\$1.00B	Long-term Stability

Co.	Deal Size \$B	Tranches	Max Amt.
Amazon	\$36.9B	11	\$4.0B
Meta	\$30.0B	5	\$6.0B
Alphabet	\$20.0B	7	\$3.5B
Oracle*	\$25.8B	6	\$5.0B

Strategic Benefits

- **Maintains Investment-Grade Rating**
3.97x leverage keeps Cloud Global within Baa2/BBB thresholds
- **Limits Balance Sheet Risk**
Only \$4B new debt. \$16B funded through JV partner
- **Preserves Project Economics**
55% ownership retains majority of \$25B+ revenue stream (vs. 51% in comparable Intel deals)
- **Precedent-Backed**
Intel/Brookfield (\$15B, 49% rev share) and Intel/Apollo (\$11B, 49% equity CF) gave away 49%
Our 45% partner share is conservative by comparison, retaining more upside for Cloud Global
- **Preserves Future Borrowing Capacity**
Maintains capacity for future capex and M&A
- **JV Duration: 15 Years**
Aligned with Intel/Apollo (15yr) and Intel/Brookfield (20yr) precedents; long enough to capture full data center ramp, with buy-out optionality after Year 10

Result: Hybrid structure preserves Cloud Global's credit rating, limits balance sheet risk, and retains 55% of a \$25B+ annual revenue stream.

AI Tools Disclosure
Claude (Anthropic) used for help with financial modeling, comp research, charts, and slide drafting. All assumptions, slides, and recommendations are original work

5-Year Financial Projection — Hybrid Strategy

Year	Revenue (\$B)	EBITDA (\$B)	EBIT (\$B)	Project CF (\$B)	Cloud Share 55% (\$B)	Interest (\$B)	Net CF to Cloud (\$B)
2027	25.00	11.25	9.25	9.86	5.42	0.24	5.18
2028	26.25	11.81	9.81	10.34	5.69	0.24	5.45
2029	27.56	12.40	10.40	10.84	5.96	0.24	5.72
2030	28.94	13.02	11.02	11.37	6.25	0.24	6.01
2031	30.39	13.67	11.67	11.92	6.56	0.24	6.32
5-Yr Total	138.14	62.16	52.16	54.34	29.88	1.20	28.68
Upside: Tightened Rate Scenario (-10bps on strong AI infrastructure demand) — Blended Rate: 5.83% Annual Interest: \$0.23B Yr 1 Net CF to Cloud: \$5.19B 5-Yr Net CF: \$28.73B (+\$0.05B vs. base)							

Sensitivity Check (Post-Project Yr 1 Leverage): Base (\$25B Rev / 45% Margin) → Leverage **2.70x ✓** | Stress (\$22B / 40%) → Leverage **2.90x ✓** | Downside (\$20B / 35%) → Leverage **3.07x ✓** — All scenarios preserve investment-grade rating

Current Leverage

3.8x

Post-Financing Leverage

3.97x (< 4.0x limit ✓)

5-Yr Net CF to Cloud Global

\$28.68B

Consol. Leverage Trajectory

3.97x → 2.5x by 2031

Assumptions: \$25B initial rev (2027) | 5% growth | 45% EBITDA margin | \$2B/yr D&A | 15% tax | Project CF = EBIT × (1 - 15% tax) + \$2B D&A | 55/45 JV split | 15-yr duration | \$4B debt blended 5.93% (base) / 5.83% (tightened, -10bps) | Annual interest: \$0.24B (base) / \$0.23B (tightened) | Consol. Net Debt/EBITDA: 3.97x (2027) → 2.5x (2031)